

MASTER CIRCULAR

SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/90

June 17, 2025

To,

All Recognized Stock Exchanges

Stock Brokers through Recognized Stock Exchanges

Madam/Sir,

Subject: Master Circular for Stock Brokers

- I. Securities and Exchange Board of India (SEBI), from time to time, has been issuing various circulars/directions to Stock Brokers. In order to enable the users to have access to the provisions of the applicable circulars at one place, SEBI had issued Master Circular dated August 09, 2024 in respect of Stock Brokers.
- II. Subsequently, various guidelines/directions were issued to Stock Brokers by way of circulars/advisory. In view of the same, the Master Circular dated August 09, 2024 has been updated to include all relevant circulars that were issued till June 10, 2025. The instant master circular supersedes the Master Circular for Stock Brokers dated August 09, 2024.
- III. Vide Master Circular for Stock Brokers dated August 09, 2024, the directions/instructions contained in the circulars listed out in the Appendix to that Master Circular, to the extent they relate to the Stock Brokers, were rescinded. In addition, with the issuance of this Master Circular, the directions/instructions contained in the circulars listed out at Sr. nos.119-130 in the Appendix to this Master Circular, to the extent they relate to the Stock Brokers, shall stand rescinded.
- IV. Notwithstanding such rescission,
 - a) anything done or any action taken or purported to have been done or taken under the rescinded circulars, prior to such rescission, shall be deemed to have been done or taken under the corresponding provisions of this Master Circular;

- b) any application made to the Board under the rescinded circulars, prior to such rescission, and pending before it shall be deemed to have been made under the corresponding provisions of this Master Circular;
 - c) the previous operation of the rescinded circulars or anything duly done or suffered thereunder, any right, privilege, obligation or liability acquired, accrued or incurred under the rescinded circulars, any penalty, incurred in respect of any violation committed against the rescinded circulars, or any investigation, legal proceeding or remedy in respect of any such right, privilege, obligation, liability, penalty as aforesaid, shall remain unaffected as if the rescinded circulars have never been rescinded;
- V. This circular is issued in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992 read with Regulation 30 of Chapter VII of SEBI (Stock Brokers) Regulations, 1992 and Regulation 51 of Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 to protect the interests of investors in securities and to promote the development of, and to regulate the securities markets.
- VI. This circular is available on SEBI website at www.sebi.gov.in.

Yours faithfully,

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List of Abbreviations

API	Application Programming Interface
CC	Clearing Corporation
CM	Clearing Member
CTCL	Computer-to-Computer Link
DP	Depository Participant
EPI	Early Pay-in
FII	Foreign Institutional Investor
GIFT IFSC	Gujarat International Finance Tec-City International Financial Services Centre
IPF	Investor Protection Fund
ISIN	International Securities Identification Number
KYC	Know Your Customer
LAN	Local Area Network
MoA	Memorandum of Association
NOC	No Objection Certificate
PAN	Permanent Account Number

<i>PoA</i>	<i>Power of Attorney</i>
<i>SGF</i>	<i>Settlement Guarantee Fund</i>
<i>T-Day</i>	<i>Trading Day</i>
<i>TM</i>	<i>Trading Member</i>
<i>UCC</i>	<i>Unique Client Code</i>
<i>VaR</i>	<i>Value-at-Risk</i>

I. REGISTRATION OF STOCK BROKERS

1. Registration of Brokers - Verification of antecedents of the applicant¹

- 1.1. In terms of Rule 8(1)(e) of Securities Contracts (Regulation) Rules, 1957, "no person shall be eligible to be elected as a member if he has been convicted of an offence involving fraud or dishonesty".
- 1.2. Stock Exchanges shall verify the antecedents of the applicant before granting admission as a member of Stock Exchange and also submit a declaration at the time of forwarding the applications for registration with SEBI, to the effect that the member has not been convicted of any offence involving fraud or dishonesty.

2. Conversion of individual membership into corporate membership²

- 2.1. In case of corporatisation of individual membership, the individual member may trade in his individual name pending registration of the corporate member by SEBI.
- 2.2. In case the corporate member acquires the membership through purchase of membership card of an individual member, the corporate member shall not be entitled to trade because of the provisions of Section 12 of the Securities and Exchange Board of India Act, 1992 (hereinafter referred to as "**SEBI Act 1992**"), till registration is granted to the corporate member by SEBI.

3. Additional information to be submitted at the time of registration of Stock Broker with SEBI³

- 3.1. In terms of Regulation 3(2) of the Securities and Exchange Board of India (Stock Brokers) Regulations, 1992 (hereinafter referred to as "**Stock Brokers Regulations 1992**"), a Stock Broker has to apply in Form A, Schedule I of the aforesaid Regulations, duly recommended by the Stock Exchange of which he is a member, for registration as a Stock Broker by SEBI.
- 3.2. While forwarding the applications in Form A, Stock Exchanges shall ensure that additional information as per the format at [Annexure-1](#) is also submitted along with the application for all the cases sent for registration.

¹ Reference: Circular SMD/POLICY/CIRCULAR/30/97 dated November 25, 1997.

² Reference: Circular SMD/POLICY/CIR-34/97 dated December 11, 1997.

³ Reference: Circular SMD/POLICY/CIR-11/98 dated March 16, 1998.